

MOI HIGH-KABARAK 2025 PREDICTION



Kenya Certificate of Secondary Education

KCSE PREDICTION SERIES 1



565/1

Business Studies

Paper 1

Time: 2 Hours

NAME.....

SCHOOL..... **SIGN**.....

INDEX NO..... **ADM NO**.....

Kenya Certificate of Secondary Education.

INSTRUCTION TO CANDIDATES

- a) Write your name, School and Index No. in the spaces provided above.*
- b) Sign and write the date of examination in the spaces provided above.*
- c) Answers all questions in the spaces provided in this booklet.*
- d) Candidates should answer the questions in English.*

FOR EXAMINER'S USE ONLY

Qns	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
Marks															

16	17	18	19	20	21	22	23	24	25	Total

Answers all questions

1. Outline four factors that may lead to dishonoring of a cheque **(4 marks)**

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2. State four circumstances when a high population growth rate may be desirable.(4 marks)

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3. Highlight four benefits that accrue to an entrepreneur who prepares a business plan.(4 marks)

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4. Give four differences between ordinary shares and preference shares. **(4 marks)**

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5. State four reasons why the government issues licenses to business people. (4 marks)

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6. Outline four factors that would influence the amount of money held by an individual for transaction purpose. (4 marks)

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7. Name the international trade documents that relates to each of the following statements:(4 ks)

	Statement	Document
(a)	Gives details about the origin of the goods.	
(b)	Gives title to the goods traded.	
(c)	Used to place the order for goods to be imported from a specific exporter.	
(d)	Written by a commercial attaché of the importing country showing current prices of goods being exported.	

8. State four problems that are usually encountered in the formulation stage of a development plan. (4 marks)

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9. Give four circumstances when pipeline would be more preferred as a means of transport. (4 mk

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10. Name four source documents which are used to provide information used to make entries in the books of accounts. (4 marks)

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11. Complete the table below for business A, B, C and D.

BUSINESS	ASSETS	LIABILITIES	CAPITAL
A	W	250,000	700,000
B	85,000	30,000	X
C	420,000	Y	120,000
D	600,000	175,000	Z

12. State four benefits a trader receives from warehousing. (4 marks)

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13. Highlight four emerging issues in communication. (4 marks)

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14. State four factors that influence the fertility rate of a population. **(4 marks)**

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15. Outline four expenditure items that are included in the measurement of national income under the expenditure approach. **(4 marks)**

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16. The following information relates to Kawira Traders on 31st January 2018:

Opening stock	40,000
Purchases	480,000
Gross profit	100,000
Mark-up	25%

Calculate:

(a) Closing stock. **(2 marks)**

(b) Rate of stock turnover for the year. **(2 marks)**

17.Highlight four ways in which the demographic environment affects the performance of the business.
(4 marks)

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18.State four factors to consider when making a choice of channel to use in distributing locally produced agricultural products.
(4 marks)

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19.Outline four benefits received by a student who finished form four and had done business studies as a subject.
(4 marks)

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20. Indicate which accounts to be debited and which accounts to be credited from the following transactions: **(4 marks)**

	Transaction	A/c Dr	A/c Cr
(a)	Proprietor took cash Sh. 18,000 and paid rent		
(b)	Brought in personal table and made it to be a business asset.		
(c)	A debtor paid Sh 80,000 by cheque.		
(d)	Transferred Sh 20,000 to a private bank account.		

21. Matuu Wholesalers insured their business worth Ksh. 2,850,000 for Ksh. 2,300,000 against fire. Eight months later, fire destroyed the business leading to a loss of Ksh. 1,248,000. Calculate what the insurance company compensated the business **(4 marks)**

22. Give four trends and emerging issues in office management. **(4 marks)**

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23. Highlight four decisions made when deciding which goods and services to produce.(4 marks)

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24. Outline how the following utilities are fulfilled: (4 marks)

	Utility	How it is fulfilled
(a)	Place	
(b)	Form	
(c)	Time	
(d)	Possession.	

25. Outline four factors that a county government should consider before spending their county money.

(4marks)

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